

EVG1020 - Ashley Turner - 2025 Form 1040

CLIENT COPY - FINAL (signed off) - Tax Year 2025 - Prepared by Evergreen Tax (synthetic firm)

Taxpayer	Ashley N. Turner (XXX-XX-6318), DOB 05/19/1986
Address	718 Kenesaw Ave, Knoxville, TN 37919
Filing status	Single
Digital assets question	No
Forms included	1040, Schedules 1, A, B, E, Form 4562, Form 8995 (QBI loss carryforward); NC D-400 + Schedule PN (nonresident)
State	Tennessee - no individual income tax. North Carolina nonresident return (NC-source gambling winnings)
Filing method	E-file federal and NC (Form 8879 signed 04/08/2026); direct deposit ORNL FCU ****5530

Key figures	Amount
Total income (1040 line 9)	89,104
Adjusted gross income (line 11)	89,104
Deduction (line 12e) - Itemized (Schedule A)	23,992
QBI deduction (line 13a)	0
Schedule 1-A deductions (line 13b)	0
Taxable income (line 15)	65,112
Total tax (line 24)	9,242
Total payments (line 33)	10,420
REFUND (line 35a)	1,178

Form 1040

Line	Description	Amount
1a	Total amount from Form(s) W-2, box 1	92,180
1b	Household employee wages not reported on Form(s) W-2	0
1c	Tip income not reported on line 1a (Form 4137)	0
1e	Taxable dependent care benefits (Form 2441, line 26)	0
1h	Other earned income	0
1z	Add lines 1a through 1h	92,180
2a	Tax-exempt interest	0
2b	Taxable interest	71
3a	Qualified dividends	0
3b	Ordinary dividends	0
4a	IRA distributions	0
4b	IRA distributions - taxable amount	0
5a	Pensions and annuities	0
5b	Pensions and annuities - taxable amount	0
6a	Social security benefits	0
6b	Social security benefits - taxable amount	0
7	Capital gain or (loss) (Schedule D)	0
8	Additional income from Schedule 1, line 10	(3,147)
9	Total income	89,104
10	Adjustments to income from Schedule 1, line 26	0
11	Adjusted gross income	89,104
12e	Standard deduction or itemized deductions (Itemized (Schedule A))	23,992
13a	Qualified business income deduction (Form 8995/8995-A)	0
13b	Additional deductions from Schedule 1-A, line 38	0
14	Add lines 12e, 13a, and 13b	23,992
15	Taxable income	65,112
16	Tax	9,242
17	Amount from Schedule 2, line 3	0
18	Add lines 16 and 17	9,242
19	Child tax credit / credit for other dependents (Schedule 8812)	0
20	Amount from Schedule 3, line 8	0
21	Add lines 19 and 20	0
22	Subtract line 21 from line 18	9,242
23	Other taxes, including self-employment tax, from Schedule 2, line 21	0
24	Total tax	9,242
25a	Federal income tax withheld - Form(s) W-2	10,420
25b	Federal income tax withheld - Form(s) 1099	0
25c	Federal income tax withheld - other forms (incl. Form 8959 line 24)	0
25d	Total withholding	10,420
26	2025 estimated tax payments and amount applied from 2024 return	0
27a	Earned income credit (EIC)	0

Line	Description	Amount
28	Additional child tax credit (Schedule 8812)	0
29	American opportunity credit - refundable (Form 8863, line 8)	0
31	Amount from Schedule 3, line 15	0
32	Total other payments and refundable credits	0
33	Total payments	10,420
34	Amount overpaid	1,178
35a	Refund	1,178
37	Amount you owe	0
38	Estimated tax penalty (Form 2210)	0

Schedule B

Line	Description	Amount
1.1	ORNL Federal Credit Union	71
2	Total interest	71
4	Taxable interest (to Form 1040, line 2b)	71
6	Ordinary dividends (to Form 1040, line 3b)	0
7a	Foreign financial account at any time in 2025? / FBAR required?	No
8	Grantor of / transferor to a foreign trust?	No

Schedule 1

Line	Description	Amount
5	Rental real estate, royalties, partnerships, S corps, trusts - Schedule E	(15,147)
8b	Gambling winnings (Form W-2G - Harrah's Cherokee, NC)	12,000
9	Total other income	12,000
10	Additional income (to Form 1040, line 8)	(3,147)

Schedule A

Line	Description	Amount
1	Medical and dental expenses	0
3	7.5% of AGI	6,683
4	Deductible medical	0
5a	General sales taxes	1,480
5b	State and local real estate taxes	2,250
5c	State and local personal property taxes	0
5d	Add lines 5a through 5c	3,730
5e	Smaller of line 5d or SALT limit (\$40,000 after MAGI phase-down)	3,730
7	Total taxes	3,730
8a	Home mortgage interest and points reported on Form 1098	7,912
8e	Add lines 8a through 8c	7,912
10	Total interest	7,912
11	Gifts by cash or check	350

Line	Description	Amount
12	Other than by cash or check	0
14	Total gifts to charity	350
16	Gambling losses (limited to gambling winnings of \$12,000; 100% for 2025)	12,000
17	Total itemized deductions	23,992

Form 8995

Line	Description	Amount
Gatlinburg STR (Sch E-1) deduction (below threshold: 20% x QBI)		(3,029)
limit	20% x (taxable income before QBI 65,112 - net capital gain & qualified dividends 0)	13,022
deduction	Qualified business income deduction	0

Schedule E - Part I detail (Gatlinburg condo)

Schedule E, Part I - Property A: 1210 Ski Mountain Rd, Unit 407 (Laurel Ridge Condominiums), Gatlinburg, TN 37738 (type 3 - short-term rental)	Total expense	Rental portion	Sch E
Line 2: fair rental days / personal use days / QJV	192 / 6 / No		
Line 3 Rents received (Form 1099-K gross = CSV gross earnings)	49,945	100%	49,945
Airbnb host service fees (direct - 100%)	1,498	100%	1,498
Turnover cleaning (Mountain Fresh Cleaning - 62 x \$95) (direct - 100%)	5,890	100%	5,890
Guest supplies / consumables (direct - 100%)	1,380	100%	1,380
Auto - rental trips (24 x 82 mi x \$0.70) (direct - 100%)	1,378	100%	1,378
Gatlinburg business license + Sevier County STR permit (direct - 100%)	150	100%	150
Dynamic pricing software (PriceLabs, 9 mo) (direct - 100%)	180	100%	180
Insurance (STR landlord policy 04/01/25-03/31/26) (x 192/198)	2,160	96.9697%	2,095
Mortgage interest (Form 1098) (x 192/198)	14,133	96.9697%	13,704
Repairs (plumber - disposal) (x 192/198)	265	96.9697%	257
Taxes - her share of 2025 property tax (x 192/198)	2,163	96.9697%	2,097
Utilities (electric, water, internet/TV) (x 192/198)	3,420	96.9697%	3,316
HOA dues (9 x \$385) (x 192/198)	3,465	96.9697%	3,360
Depreciation - condo (39-yr, \$330,148 x 1.819%) (x 192/198)	6,005	96.9697%	5,823

Schedule E, Part I - Property A: 1210 Ski Mountain Rd, Unit 407 (Laurel Ridge Condominiums), Gatlinburg, TN 37738 (type 3 - short-term rental)	Total expense	Rental portion	Sch E
Depreciation - furniture/appliances (5-yr, 100% bonus) (x 192/198)	24,600	96.9697%	23,855
Amortization - loan costs (360 mo; 9 months) (x 192/198)	113	96.9697%	109
Line 20 Total expenses			65,092
Line 21/26 Net income (loss) - NONPASSIVE (not a rental activity; material participation)			(15,147)

Airbnb 1099-K reconciliation

Airbnb reconciliation (CSV -> 1099-K -> bank)	Amount
Accommodation subtotal (nightly rates)	42,195
Cleaning fees charged to guests	7,750
Gross earnings = Form 1099-K box 1a (Sch E line 3)	49,945
Less host service fees (3%) - deducted as commissions	(1,498)
Payouts deposited (client's organizer figure)	48,447
Occupancy & sales taxes collected/remitted by Airbnb - NOT income, NOT deductible	6,368
Reservations 62; nights 192; average stay 3.10 nights (<= 7 -> not a rental activity)	

Form 4562 - depreciation and amortization

Form 4562 (Sch E - Gatlinburg condo)	Basis	Method	2025 deduction (before 280A allocation)
Condo building (price 385,000 + acquisition costs 3,410 = 388,410; land 58,262 per assessor ratio 49,500/330,000)	330,148	39-yr SL MM (transient use), PIS 04/2025	6,005
Furniture, appliances, hot tub, TVs, linens (9 invoices, acquired 03/22-03/30/2025)	24,600	5-yr, 100% special depreciation allowance (acquired after 01/19/2025)	24,600
Loan costs (origination, appraisal, lender title) - amortized over 360 months	4,510	SL 30 yrs	113
Land (not depreciable)	58,262	-	0

Passive activity / IRC 280A analysis

Material participation / passive analysis	Result
Average period of customer use (Reg. 1.469-1T(e)(3)(ii)(A))	3.10 days <= 7 -> NOT a rental activity
Significant/extraordinary personal services?	No (no meals, daily cleaning, concierge) -> Schedule E, not Schedule C; no SE tax
Test 3 - Reg. 1.469-5T(a)(3): > 100 hours and not less than any other individual	Ashley 180 hrs vs cleaner ~95, handyman 12 -> MET

Material participation / passive analysis	Result
Result	Material participation -> nonpassive; loss offsets W-2 wages; Form 8582 not used
IRC 280A(d) residence test: personal days vs greater of 14 or 10% of rental days	6 vs 19.2 -> not a residence; no 280A(c)(5) income limit
IRC 280A(e) allocation of shared expenses	192/198 = 96.9697%; maintenance days (08/18-08/19) are not personal use

Deduction comparison

Standard vs itemized	Amount
Standard deduction (single, OBBBA)	15,750
Itemized WITHOUT gambling losses	11,992
Itemized WITH gambling losses (used)	23,992

State / Local Returns

North Carolina Form D-400 (nonresident) with Schedule PN - 2025

Line	Description	Amount
6	Federal adjusted gross income	89,104
9-10	NC additions / deductions	0
11	NC standard deduction (single) - NC itemized limited to mortgage int./property tax/charity/medical; gambling losses not allowed by NC	12,750
12b	Income after deductions	76,354
13	Taxable percentage (Sch PN: NC-source 12,000 / total 89,104)	0.1347
14	North Carolina taxable income	10,285
15	NC income tax (4.25%)	437
20a	NC tax withheld (Form W-2G)	510
28/34	Refund	73

Filing required: nonresident with NC-source income whose total gross income exceeds the NC filing threshold. Tennessee has no income tax (no credit for tax paid to NC is available anywhere).